

THE EQUITY EXPRESSION OF THE SEAT-BASED SOFTWARE THESIS

The Bid Against The Story

For most of 2026 the market has told one story about enterprise software: artificial intelligence lets four people do the work of ten, software is sold by the person, therefore software revenue is a melting asset. The story has been expensive. Roughly a trillion dollars of software market capitalisation was erased in the first half of the year, and Adobe now trades on a forward earnings multiple of 10.4 — a level normally reserved for businesses in decline.

On 13 August that story met a cash bid. Reuters reported that Silver Lake was in talks to take Workday private at a valuation of about \$43 billion. Workday shares rose 17.8 per cent, were halted intraday, and closed at their best single day in roughly a decade. The rest of the seat-based complex moved with it: HubSpot rose 14.5 per cent, Adobe 4.5 per cent, Salesforce 4.2 per cent. Nothing about the software changed that day. What changed was that a buyer with a chequebook publicly disagreed with the price.

A reframe worth holding onto

The interesting question is not whether AI reduces seat counts. It probably does, at the margin, over years. The question is what the equity market has already been pricing while that happens.

A leveraged buyout is a narrow and testable claim. It does not say a business will grow. It says the contracted cash flows are predictable enough to service debt. Public equity prices duration and terminal value; buyout debt prices durability. When a private buyer bids for an asset the public market has marked down as structurally impaired, the two are not disagreeing about the product. They are disagreeing about how much of the future is already in the price.

Method. Every figure in this edition is externally sourced and dated. Prices, market capitalisations and forward earnings multiples are quoted from StockAnalysis company pages as of their stated as-of date of 13 August 2026; the US session referenced falls on the same calendar day as this Hong Kong edition date. Company operating figures are taken from issuer press releases (Salesforce, Workday, HubSpot investor relations) rather than aggregators. The reported Workday approach is press reporting, not a confirmed transaction. **The internal Heyokha research Wiki could not be reached on this run** — the Wiki MCP server was not enabled in this session and the desktop archive folder was not reachable. This edition therefore carries no internal view at all, and no provider attribution. See "Sources and update notes" for the full account.

Consider a landlord who owns a good office building and leases it by the desk. The tenant is a professional firm on a lease with three years left to run. One quarter the tenant installs a system that lets four staff do the work that ten used to do. The building has not fallen down. The rent is contracted and being paid. The tenant still needs a head office, still needs the lifts to work, still needs somewhere for the servers. But the lease renews on desks — and every efficiency gain inside the building is a future reduction in the landlord's rent roll. Worse, the new machines draw power, and under the lease it is the landlord who pays for the electricity. So two things are true at once: the rent roll is intact for three years, and the economics of the renewal have permanently changed. The equity market marked the building down as though the lease had already lapsed. Then a private buyer turned up and offered a price that only requires the current lease to be paid.

THE STORY IN 60 SECONDS

\$43bn

Reported valuation at which Silver Lake is in talks to take Workday private. The firm completed a roughly \$55 billion take-private of Electronic Arts earlier in August. A Workday deal would rank among the largest software buyouts ever attempted.

Reuters, via Benzinga and SiliconANGLE, 13 August 2026. Talks reported, not confirmed.

14.3%

Growth in Workday's subscription revenue in the quarter ended 30 April 2026, to \$2.354 billion. The twelve-month subscription backlog rose 15.5 per cent to \$8.806 billion, and non-GAAP operating margin was 31.8 per cent.

Workday Q1 FY2027 results, 21 May 2026.

10.4x

Adobe's forward price-to-earnings multiple. Its market capitalisation is down 25.1 per cent over a year while trailing revenue still grew 11.5 per cent. Morgan Stanley moved to Underweight; CLSA initiated at Outperform.

StockAnalysis company page, as of 13 August 2026.

WHAT ACTUALLY HAPPENED

A single report re-rated an entire category

The sequence matters. Workday had entered the day roughly 15 per cent lower for the year and more than 40 per cent below its 2024 peak. It was, on the numbers, an unusually well-behaved business: subscription revenue compounding in the mid-teens, a contracted backlog growing faster than revenue, and a non-GAAP operating margin above 30 per cent with company guidance of 30.5 per cent for the full year. What it did not have was a narrative. Human-resources software is sold per employee. If the central claim of 2026 is that AI reduces employees, then Workday's unit of account is the thing the technology is supposed to destroy.

Then the Reuters report landed. The move was not confined to Workday. HubSpot, which had reported its own results eight days earlier, rose 14.5 per cent. Salesforce rose 4.2 per cent and Adobe 4.5 per cent. The iShares Expanded Tech-Software ETF rose 3.1 per cent to \$106.28. A takeover report about one human-capital software vendor is not, in itself, information about Adobe's creative franchise or HubSpot's marketing suite. The complex moved together because the report was read as evidence about a shared variable — the price, not the product.

This is worth stating precisely, because it is easy to over-read. The market did not learn that AI is less disruptive than feared. It learned that at least one large, sophisticated, leverage-using buyer looked at a seat-based software company's contracted cash flows and concluded they would support an acquisition financed with debt. That is a statement about the near and middle distance, where the backlog lives. It is close to silent about the far distance, where the disruption thesis lives.

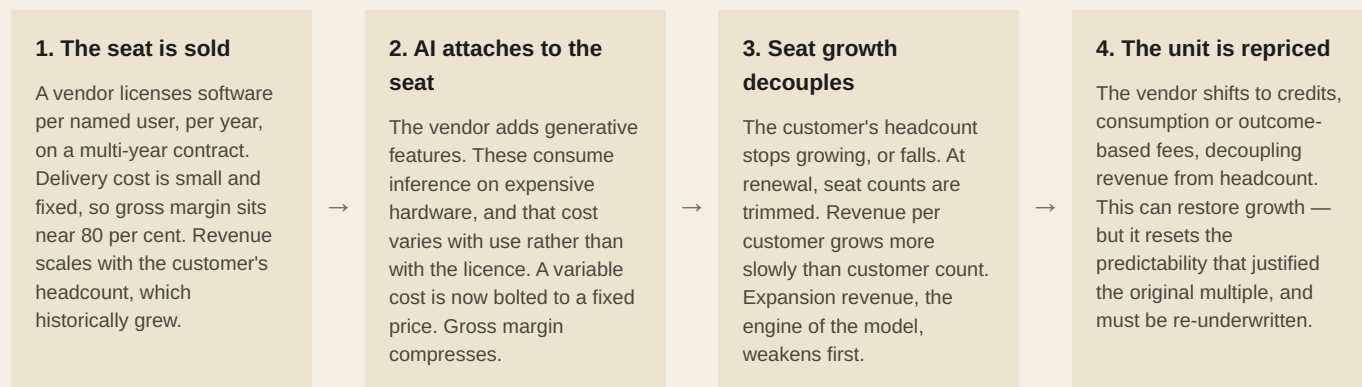
It is also worth noting what the same day's tape said elsewhere. July US consumer prices rose 0.1 per cent on the month and 3.4 per cent on the year, with core at 0.2 per cent and 2.5 per cent, all in line with expectations. The federal funds target range stands at 3.50–3.75 per cent. Cheaper and more predictable financing is a precondition for large buyouts, and it is part of why the arbitrageur showed up now rather than in February.

THE ESSENTIAL DISTINCTION

Software's revenue has not broken. Its *multiple* and its *gross margin* have. These are three different claims with three different tests, and 2026 has repeatedly collapsed them into one. Revenue growth is reported quarterly and remains in the low-to-mid teens across the complex. Gross margin is where the cost of serving AI features actually lands. The multiple is where the market's guess about the decade after next is stored. A takeover bid is evidence about the first two. It is not evidence about the third.

MECHANISM

How a seat turns into a credit



Mechanism assembled from issuer disclosure and reporting: HubSpot Q2 2026 release and earnings-call coverage on credit and outcome-based pricing (5 August 2026); Salesforce Q1 FY2027 release on Agentforce and Data 360 (27 May 2026); Barchart reporting that a majority of software providers now say the cost of delivering AI features is affecting profitability (2026). Step 4 is descriptive of the transition under way, not a forecast of its outcome.

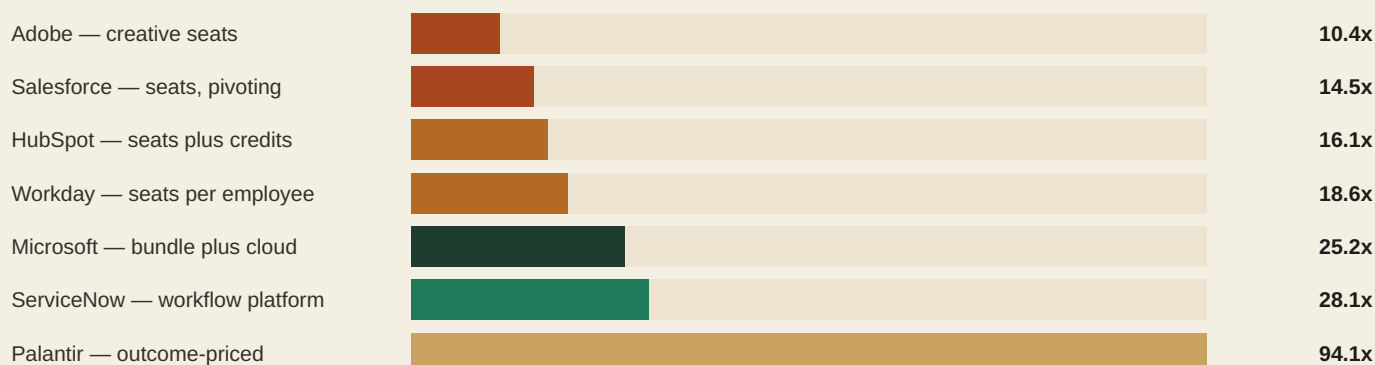


All three figures are from issuer press releases on the dates shown. They are presented together because they are in tension, not because they resolve.

THE CENTRAL COMPARISON

The market is pricing the business model, not the software

If the market simply disliked enterprise software, the sector would trade at a uniform discount. It does not. Forward earnings multiples inside the same industry now span roughly nine-fold, and they sort almost perfectly by how a company charges. The businesses that bill per seat trade at the bottom. The businesses that bill for consumption or for outcomes trade at the top. Whether that ordering reflects foresight or fashion is the entire argument.



A USEFUL MENTAL MODEL

Treat a software company as two assets stapled together: a bond and an option. The bond is the contracted backlog — visible, dated, and largely insensitive to the AI argument for its duration. The option is everything after the backlog runs out. Through 2026 the equity market has been writing down the option, and because the option is most of the multiple, the whole security fell. A leveraged buyer wants the bond and is largely indifferent to the option. *That is why a bid can arrive without the story changing at all.*

WHAT HAS ACTUALLY SHIFTED

Four changes, each cutting both ways

WHAT HAS CHANGED	WHAT IT LOOKS LIKE IN THE DATA	WHY IT CUTS BOTH WAYS
Expansion revenue has become the growth engine, and it is weakening	Expansion rose from 25 per cent of new annual recurring revenue in 2022 to 40 per cent in 2024, and 67 per cent at companies above \$100m ARR. Median gross revenue retention slipped to 88 per cent in 2024 from 90 per cent in 2022 (Benchmarkit, private-company survey data)	Reliance on expansion is efficient while seats grow and brutal when they stop. But the same data shows enterprise-segment net revenue retention still at 118 per cent — the pressure is concentrated in smaller customers, not uniform
The cost of delivering the product has stopped being trivial	Reporting in 2026 indicates a large majority of software providers now say the cost of delivering AI features is affecting profitability, as inference on expensive hardware attaches to fixed-price licences	It permanently lowers the gross margin that justified premium multiples. It also raises the barrier for smaller competitors, who cannot absorb the same compute bill — consolidating the incumbents it is squeezing
Per-seat pricing did not die; it was repackaged	Purely seat-based pricing fell to 15 per cent of SaaS companies in 2026 from 21 per cent, while hybrid fixed-plus-usage models rose to 41 per cent from 27 per cent. Salesforce's Agentic ELA is priced from \$125 per user per month (Pilot survey, via Fluenta)	Hybrid pricing restores the link between value and revenue and reportedly correlates with better growth and retention. It also makes revenue less predictable — which is precisely the quality the equity multiple was paying for
Private capital has begun arbitraging the gap	Silver Lake completed a roughly \$55 billion take-private of Electronic Arts earlier in August 2026 and is reported in talks on Workday at about \$43 billion, with a federal funds range of 3.50–3.75 per cent	It puts a floor under valuations and validates the cash flows. It also removes the cheapest assets from public hands, and a bid that does not complete leaves holders with a re-rated price and no transaction

The two cases

The case that this is a repricing, not a decline

- **The contracted base is still compounding.** Workday's twelve-month backlog grew 15.5 per cent to \$8.806 billion, ahead of subscription revenue growth of 14.3 per cent (Q1 FY2027, 21 May 2026). Backlog growing faster than revenue is not the signature of an eroding franchise.
- **Salesforce is monetising the transition, not just describing it.** Combined Agentforce and Data 360 ARR reached about \$3.4 billion, up over 200 per cent, with cRPO of \$33.6 billion up 14 per cent and non-GAAP operating margin of 34.8 per cent (Q1 FY2027, 27 May 2026).
- **The platform end is accelerating, not decaying.** ServiceNow reported 23 per cent subscription revenue growth in Q2 2026, AI annual contract value above \$1 billion, and raised full-year guidance.
- **The hybrid model is working where it has been adopted.** Survey data puts hybrid fixed-plus-usage pricing at 41 per cent of SaaS companies, up from 27 per cent, with materially better reported growth and net revenue retention than subscription-only peers.
- **A leveraged buyer has underwritten the cash flows.** Debt financing requires conviction about predictability that public equity is not currently expressing. Silver Lake is reported to be doing exactly that at roughly \$43 billion.
- **The valuations already embed severe outcomes.** Adobe at 10.4 times forward earnings, with revenue still growing 11.5 per cent, prices a business in decline rather than one in transition.

The case that the erosion is real and early

- **Seat-value deflation is already visible in the accounts.** HubSpot added 14 per cent more customers year on year but grew average subscription revenue per customer only 4 per cent (Q2 2026, 5 August 2026). Growth is coming from more customers paying less each, which is a harder business.
- **Retention is drifting in the wrong direction.** Median gross revenue retention fell to 88 per cent by 2024 from 90 per cent in 2022, and SMB net revenue retention sits at 97 per cent — below the level at which a subscription base sustains itself without new logos.
- **The margin that justified the multiple is under attack.** Inference cost attaches to fixed-price licences. A majority of providers now report AI delivery costs affecting profitability. A software business at 60 per cent gross margin is a different security from one at 80 per cent.
- **AI adoption inside these products is still small.** HubSpot's most-adopted agent reached roughly 17,000 activated customers against a base of 306,446 — low single-digit percentages. The offsetting revenue is real but early, and the seat pressure is not conditional on it arriving.
- **Repricing sacrifices the quality being paid for.** Moving from seats to credits trades predictable, contracted revenue for variable, consumption-linked revenue. HubSpot's own move back toward spend thresholds and predictable pricing suggests customers resisted pure metering.
- **A takeover report is not a transaction.** No agreement has been announced, neither party has confirmed terms, and the sector's re-rating on 13 August rests on reporting from unnamed sources.

WHERE THE EVIDENCE CONFLICTS

An unresolved disagreement, left unresolved

The sharpest conflict this edition found sits inside the external record itself, and it has not been reconciled. Sell-side consensus on Workday is a "Buy" rating from 41 analysts with an average twelve-month price target of \$169.97 — roughly 18 per cent *below* the \$206.45 close on 13 August. On the same day, a private buyer was reported to be negotiating at a valuation of about \$43 billion, against a market capitalisation of roughly \$51 billion at that close. Read literally, the published analyst view is that the shares are now worth meaningfully less than the market is paying, while a leveraged buyer is reported to be paying a premium to where the shares traded before the news. Both cannot be a good description of the asset. Adobe shows the same fracture in miniature: Morgan Stanley moved to Underweight citing simultaneous transitions, while CLSA initiated at Outperform citing software's competitive advantages, on the same company at 10.4 times forward earnings. This edition does not adjudicate. The disagreement is the finding.

It should also be said plainly what this edition cannot do. The Heyokha research Wiki was unreachable on this run, so there is no internal house view to set against the external record, and no named provider — 13D Research, White Box, Greed & Fear, Solid Ground, or any other — to attribute a position to. The conflict described above is therefore external-versus-external. A normal edition would place the internal thesis alongside it. This one cannot, and the reader should weigh it accordingly.

WHAT TO WATCH FROM HERE

The dashboard

SIGNAL	PLAIN-ENGLISH READING	WHY IT MATTERS
Salesforce Q2 FY2027 — 26 August 2026	Whether current remaining performance obligation still grows near the 14 per cent reported in Q1, and whether Agentforce ARR keeps compounding off \$1.2 billion	The clearest read on whether the contracted base is intact at the largest seat-based vendor, and whether AI revenue is offsetting seat pressure or merely accompanying it
Workday Q2 FY2027 — 27 August 2026	Twelve-month backlog growth against the 15.5 per cent set in Q1, and whether management alters guidance or disclosure in light of the reported approach	The company at the centre of the bid reports two weeks later. A backlog deceleration would weaken the bond half of the argument precisely when it is being tested
Adobe Q3 — 10 September 2026	Whether generative features are adding revenue faster than creative seats are being rationalised	Adobe is the purest test: creative work is where AI substitution is most visible, and the shares already price a poor outcome at 10.4 times forward earnings
Confirmation, terms and premium of any Workday transaction	Whether talks become an agreement, at what price relative to the pre-report level, and how the debt is syndicated	A completed deal converts a report into a marked private valuation for seat-based software. A collapse leaves the whole complex re-rated on nothing
Reported software gross margins, next two quarters	Whether the cost of delivering AI features shows up as a sustained decline in gross margin rather than a one-off	This is the bear case's cleanest test. Revenue growth can stay in the teens while the economics of the revenue quietly change
FOMC, 15–16 September 2026, with projections	Whether the 3.50–3.75 per cent range holds after July core inflation of 2.5 per cent year on year	Buyout financing is the transmission channel. The private-market bid under software valuations is a function of what leverage costs

THREE POSTURES, NOT ONE ANSWER

Coherent ways to hold this, and what each costs

Own the bond

Buy the cheapest contracted cash flows in the complex and accept that the option is worth little — the Adobe and Salesforce end of the multiple range. **The cost:** these are the businesses most exposed if seat counts genuinely contract. The posture requires a re-rating to arrive before the erosion does, and offers no protection if the sequence runs the other way.

Own the repricing

Buy the companies furthest along in shifting from seats to consumption and outcomes — the ServiceNow and Palantir end. **The cost:** 28 to 94 times forward earnings. The analysis may be correct and the position still lose money, because the conclusion is already the consensus and is fully reflected in the price.

Own the arbitrage

Screen for what a leveraged buyer would want: contracted revenue, high margins, modest debt, a depressed multiple. **The cost:** this is event-driven, and takeover speculation is the least reliable catalyst there is. Deals leak, stall and collapse, and the holder is left owning a business bought for a reason that did not happen.

The companies named in this edition are illustrative of the mechanics discussed. They are NOT recommendations to buy, sell or hold any security. Nothing here constitutes investment advice or an offer of any kind.

Six ways the argument shows up

WDAY

\$206.45 · +17.8%

13 Aug 2026

Workday, Inc. — human capital and financial management

The subject of the bid and the purest seat-based model in large-cap software: priced per employee, sold to the function whose headcount AI is expected to shrink. It entered 13 August about 15 per cent lower for the year and more than 40 per cent below its 2024 peak, on subscription revenue growing 14.3 per cent, backlog growing 15.5 per cent and a 31.8 per cent non-GAAP operating margin. Market capitalisation stood near \$51 billion after the move; the reported talks are at about \$43 billion.

WATCH NEXT

Q2 FY2027 results on 27 August — backlog growth against 15.5 per cent, and whether guidance is withdrawn or reaffirmed.

CRM

\$201.37 · +4.2%

13 Aug 2026

Salesforce, Inc. — customer relationship management

The largest test of whether a seat-based incumbent can sell the thing that threatens it. Q1 FY2027 revenue was \$11.1 billion, up 13 per cent, with CRPO of \$33.6 billion up 14 per cent and non-GAAP operating margin of 34.8 per cent. Combined Agentforce and Data 360 ARR of about \$3.4 billion is growing over 200 per cent — real money, but roughly 7 per cent of the \$45.9–46.2 billion full-year revenue guide. Market capitalisation is down 25.5 per cent over a year; forward earnings multiple 14.5 times.

WATCH NEXT

Q2 FY2027 on 26 August — CRPO growth, and whether AI revenue is additive or substitutional to core seats.

ADBE

\$270.49 · 10.4x fwd

13 Aug 2026

Adobe Inc. — creative and document software

The most direct substitution case in the sector, and the one the market has priced most severely. Trailing revenue grew 11.5 per cent to \$25.2 billion with net income of \$7.2 billion, yet market capitalisation fell 25.1 per cent over a year and the shares trade at 10.4 times forward earnings. The analyst community is openly split, with Morgan Stanley at Underweight on the number of simultaneous transitions and CLSA initiating at Outperform. Consensus price target sits essentially at the current price.

WATCH NEXT

Q3 results on 10 September — whether generative-feature revenue is outrunning creative seat rationalisation.

NOW

\$127.25 · 28.1x fwd

13 Aug 2026

ServiceNow, Inc. — enterprise workflow platform

The counter-example the bulls point to: a platform sold on workflows rather than headcount, growing subscription revenue 23 per cent in Q2 2026 with AI annual contract value above \$1 billion and full-year guidance raised. Trailing revenue rose 22.2 per cent to \$14.7 billion. The complication is that net income was roughly flat at \$1.67 billion despite that growth, and the shares are 26.1 per cent below their 52-week high even so — the derating reached the winners too.

WATCH NEXT

Whether subscription growth above 20 per cent starts converting into net income growth rather than flat earnings.

HUBS

\$240.51 · +14.5%

13 Aug 2026

HubSpot, Inc. — marketing and sales software for scaling companies

The clearest illustration of the tension inside one set of accounts. Q2 2026 revenue of \$911.7 million grew 20 per cent with non-GAAP operating margin expanding to 20.3 per cent from 17.0 per cent. But customers grew 14 per cent while revenue per customer grew only 4 per cent, and management explicitly moved toward outcome-based pricing, lower entry points and spend thresholds after customers balked at unpredictable token costs. The shares remain roughly 54 per cent below their 52-week high.

WATCH NEXT

Whether average subscription revenue per customer reaccelerates, or the 14-versus-4 gap widens further.

PLTR

\$179.01 · 94.1x fwd

13 Aug 2026

Palantir Technologies Inc. — data and decision platforms

The other end of the distribution, and a caution against treating the pricing-model thesis as a trade. Trailing revenue grew 78.9 per cent to \$6.16 billion with net income of \$3.02 billion, and the company sells deployments and outcomes rather than seats. The market has already awarded that model 94 times forward earnings and a \$430 billion capitalisation — against an average analyst target implying about 6 per cent upside. Being right about the business model is not the same as being early to it.

WATCH NEXT

Whether the growth rate decelerates toward the multiple, or the multiple compresses toward the sector.

The bottom line

What was repriced on 13 August was not enterprise software's prospects. It was the market's confidence in its own discount rate. Nothing in the day's news told anyone whether AI will erode seat counts over the next decade; the Reuters report concerned a negotiation, not a product. What it did establish is that at least one buyer with access to debt markets, looking at the same contracted backlogs the public market has been marking down, reached a materially higher number. The complex rose together because the information was about price rather than about software, and price is the one thing every name in the sector shares.

The evidence remains genuinely mixed, and this edition has not resolved it. Backlogs at Workday and Salesforce are still compounding faster than revenue; HubSpot's revenue per customer is growing at a quarter the rate of its customer count; ServiceNow is growing 23 per cent and converting almost none of it into incremental net income. The reasonable inference is narrow: the near-term cash flows look sturdier than a 10-times-forward multiple implies, and the far-term economics look genuinely worse than the 80 per cent-gross-margin era assumed. Those can both be true, and the gap between them is where the returns will be decided. The next test is not an argument but a calendar — Salesforce on 26 August, Workday on 27 August, Adobe on 10 September — and, above all, whether the reported bid becomes a signed transaction or quietly disappears.

Editorial note. This is educational commentary prepared for internal use at Heyokha Brothers. It is not investment advice, not a recommendation, and not an offer or solicitation to buy or sell any security. Companies named are illustrative of the mechanics under discussion and were selected to represent different points on a spectrum, not for their merit as investments. All external figures carry the date on which they were reported or observed; prices and multiples move and may be stale by the time this is read. Internal Heyokha Wiki views, where present, are the opinions of named third-party research providers and are labelled as views rather than forecasts — **on this run no internal view was available at all**, and no provider is cited. Where sources conflict, the conflict is stated and left unresolved rather than adjudicated. Reported merger and acquisition talks are press reporting from unnamed sources and may not result in any transaction.

Sources and update notes

(a) Internal. None. The Heyokha research Wiki could not be read on this run. The Wiki MCP server ("Heyokha Wiki MCP") is installed on the account but was not enabled in this session, so *list_sources*, *list_pages*, *get_page*, *get_relations* and *search_wiki* were all unavailable. A fallback search of the connected Notion workspace returned only a generic engineering-wiki template with no theme pages, source summaries or provider material. Consequently there is no Wiki page slug, no *last_reviewed* date, and no provider issue — from 13D Research, White Box, Greed & Fear, Solid Ground, Marc Faber, HS Dent, Gary Shilling or any other — underlying anything in this edition. The topic was selected from external reporting alone.

(b) Limitation on the internal view. The standing limitation disclosed in this section is normally provider concentration on the relevant Wiki page. That disclosure cannot be made here, and its absence is a larger limitation than any concentration would have been. This edition is built entirely on public reporting and issuer disclosure, which means it inherits the biases of the financial press and of company investor-relations material — both of which systematically over-report growth metrics and under-report the cost lines that matter most to this particular argument. It has no independent house view to check that against. Readers who rely on the Wiki's provider framing for context should treat this edition as incomplete rather than as a substitute.

(c) External sources. (1) Reuters exclusive reporting that Silver Lake is in talks to take Workday private at a valuation of about \$43 billion, 13 August 2026, accessed via Benzinga and SiliconANGLE; the same reporting notes Silver Lake's roughly \$55 billion take-private of Electronic Arts completed earlier in August 2026, and that Workday shares had fallen about 15 per cent year to date and traded more than 40 per cent below their 2024 peak before the report. (2) Workday Q1 FY2027 results, 21 May 2026: total revenue \$2.542 billion (+13.5 per cent), subscription revenue \$2.354 billion (+14.3 per cent), twelve-month subscription backlog \$8.806 billion (+15.5 per cent), GAAP operating margin 13.3 per cent, non-GAAP 31.8 per cent, full-year subscription guidance \$9.925–9.950 billion (+12–13 per cent) with 30.5 per cent non-GAAP margin. (3) Salesforce Q1 FY2027 results, 27 May 2026: revenue \$11.1 billion (+13 per cent), subscription and support \$10.6 billion (+14 per cent), CRPO \$33.6 billion (+14 per cent), GAAP operating margin 21.1 per cent, non-GAAP 34.8 per cent, Agentforce ARR \$1.2 billion (+205 per cent), Agentforce plus Data 360 about \$3.4 billion (+200 per cent), FY2027 revenue guidance \$45.9–46.2 billion. (4) HubSpot Q2 2026 results, 5 August 2026: revenue \$911.7 million (+20 per cent reported, +17 per cent constant currency), subscription revenue \$894.0 million, GAAP operating margin 4.8 per cent, non-GAAP 20.3 per cent, customers 306,446 (+14 per cent), average subscription revenue per customer \$11,800 (+4 per cent), FY2026 guidance \$3.678–3.686 billion; agent-adoption figures (Data Agent 16,000+, Prospecting Agent about 17,000, Customer Agent 10,000+) are from earnings-call coverage, not the press release. (5) StockAnalysis company and ETF pages, as of 13 August 2026, for prices, day moves, market capitalisations, 52-week ranges, trailing revenue growth and forward earnings multiples: IGV \$106.28 (+3.10 per cent, one-year total return –2.98 per cent, fund P/E 42.43); WDAY \$206.45 (+17.78 per cent), CRM \$201.37 (+4.16 per cent), ADBE \$270.49 (+4.54 per cent), HUBS \$240.51 (+14.46 per cent),

NOW \$127.25 (+1.85 per cent), PLTR \$179.01 (+4.66 per cent), MSFT \$496.88 (+0.90 per cent). (6) CNBC reporting that Workday posted its best day in ten years and was halted intraday, 13 August 2026. (7) TheStreet market wrap, 12 August 2026: July CPI +0.1 per cent month on month and 3.4 per cent year on year, core +0.2 per cent and 2.5 per cent, all in line with expectations. (8) FedRateCalc FOMC schedule: meeting 15–16 September 2026 with Summary of Economic Projections, current target range 3.50–3.75 per cent. (9) Benchmarkit, Maxio, SaaS Capital and KeyBanc private-SaaS survey data compiled by Digital Applied: median gross revenue retention 88 per cent in 2024 versus 90 per cent in 2022, enterprise net revenue retention 118 per cent, SMB 97 per cent, expansion revenue 40 per cent of new ARR in 2024 versus 25 per cent in 2022. *These are private-company survey figures with a 2024 vintage and are not a current read on the listed companies discussed.* (10) Pilot pricing survey via Fluent: purely seat-based pricing 15 per cent of SaaS companies in 2026 versus 21 per cent prior year; hybrid fixed-plus-usage 41 per cent versus 27 per cent; Salesforce Agentic ELA from \$125 per user per month. (11) Barchart, 2026, on software's derating and the share of providers reporting that AI delivery costs affect profitability. (12) Forbes, 6 February 2026, on the scale of the software drawdown, including Salesforce down 26 per cent and roughly \$1 trillion of sector value erased. (13) Salesforce and Workday investor-relations calendars for the 26 and 27 August 2026 reporting dates; Adobe next reporting 10 September 2026.

(d) Editorial choices made in this automated run. Seat-based software was selected because it was unambiguously the hottest live story available: a reported \$43 billion take-private approach to Workday broke on the edition date and re-rated the entire category intraday, with a dense calendar of confirming or refuting events inside three weeks. The intended selection method — scoring Wiki entities by source recency and headline prominence, then filtering the active theme universe — could not be run, because the Wiki MCP server was unavailable; topic selection was therefore made from external market reporting. **The cooldown check could not be verified.** The desktop archive folder "HB Wiki Learning" is unreachable from a scheduled cloud run, which has no bridge to the user's computer, so filenames could not be parsed and no 30-day cooldown set could be built. The only exclusions applied were the two editions supplied as known priors — AI Capex (4 August 2026) and Gold Miners (5 August 2026) — neither of which conflicts with today's topic, though AI Capex is adjacent and the overlap was deliberately minimised by keeping this edition on the application layer and the pricing unit rather than on infrastructure spending. If a seat-based software or enterprise software edition ran within the past thirty days, this run had no way to detect it. **Tool failures this run:** the remote-devices bridge was unavailable throughout, so neither the archive read nor the write-back to the desktop folder could be performed; the Heyokha Wiki MCP server was not enabled in session; and direct HTTP retrieval and yfinance are blocked in this environment, so all market data was obtained through web search and page fetches, with two publisher pages (CNBC) returning access errors and their content sourced from alternative reporting of the same story.

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